

LIBOR transition

Answers to common questions around the shift to risk-free rates

Background

As the global leader in financial data and technology, Bloomberg has been at the forefront of efforts to support the markets during the LIBOR transition. Following a speech by Andrew Bailey, Chief Executive of the FCA, at Bloomberg's European headquarters in July 2017, the financial markets have been focused on the uncertain future of LIBOR after 2021, and how they can potentially transition to a new set of official, sector-endorsed alternative reference rates: risk-free rates (RFRs).

The challenges the industry faces typically fall into one of the following categories:

- Where to start
- Finding information on RFR securities
- Understanding the liquidity of new contracts
- Calculating effective rates for overnight indices
- Pricing of RFR instruments
- LIBOR discontinuation and fallbacks
- Valuation impacts
- Electronic trading

Where to start

"Where can I find information to help me start my analysis around LIBOR transition?"

Bloomberg clients can visit RFR <GO> on the Bloomberg Terminal to learn about our comprehensive suite of data, analytics and portfolio solutions, designed to help market participants assess the impact of the transition to risk-free rates. Further information can be found at [bloomberg.com/libor](https://www.bloomberg.com/libor).

Finding information on RFR securities

"Where can I find relevant data relating to the new risk-free rates?"

RFR data is available on the Terminal and via a Bloomberg data license. A sample of the types of data available can be found under the "RFRs by Currency" section of RFR <GO>. More generically, Terminal customers can also search for data using Security Finder, SECF <GO>.

Understanding the liquidity of new contracts

"How can I monitor growth in volumes in RFR-based derivatives and cash securities?"

The Terminal can be used to track derivative volumes using SDR <GO> and SDRV <GO>, and cash issuance using Fixed Income Search, SRCH <GO> and League Tables, LEAG <GO>. By linking an RFR-based SRCH, Terminal customers can also leverage MOSB <GO> to monitor reported trading volumes in RFR-based securities.

Calculating effective rates for overnight indices

"I've heard a lot about volatility in SOFR. How can I assess the impact of this volatility on future coupon payments?"

Terminal customers can use Bloomberg's Index Compounding Calculator, EONC <GO>, to compute historical and projected compounded interest payments across a range of RFRs, which allows for customization of key parameters such as index leg and lockout periods.

Pricing of RFR instruments

"How can I price a floating rate note (FRN) referencing a new RFR?"

RFRs are supported across the Terminal. Existing functions such as Advanced Yield & Spread Analysis, YASN <GO>, can be utilized to price FRNs referencing RFRs. Transparency into Daily Coupon Factors can be viewed under YAS <GO> "Coupon" menu.

"How can I price derivatives referencing new RFRs?"

Terminal functions such as Bloomberg's Swap Manager, SWPM <GO>, support the pricing of derivatives referencing RFRs. Customers can access "SOFR Swaps" and "ESTR Swaps" menus for derivatives pricing from within the "Products" menu.

LIBOR discontinuation & fallbacks

"If I have cash securities referencing LIBOR, how can I assess what may happen to these securities if LIBOR is discontinued?"

Bloomberg has mined cash security documentation across a range of cash securities, including FRNs, municipal securities, preferred securities and syndicated loans, to locate "fallback language" where available. This fallback language is available through a set of new fields that can be viewed in accordance with the Terminal license under DES <GO> "Coupons – Bmrk Fallback" or downloaded for enterprise use via data license. More information can be found on the Regulatory & Accounting Products portal, RAAP <GO>, under the "Trading and Monitoring – IBOR Fallback Solution" menu.

"If I have derivatives referencing LIBOR, what alternative reference rate will apply if LIBOR is discontinued?"

Over-the-counter (OTC) derivatives are bilateral contracts and careful review of documentation will be required. Bloomberg Index Services Limited (BISL) has been selected to calculate and publish adjustments related to fallbacks that ISDA intends to implement for certain interest rate benchmarks in its 2006 ISDA Definitions. These interest rate benchmarks include the LIBORs. For further information, please visit bloomberg.com/libor.

Valuation impacts

"I understand that Central Clearing Counterparties (CCPs), including LCH and CME, are going to be changing the rate of interest payable on collateral for EUR and USD products during 2020. How can I assess the impacts on my cleared derivatives portfolios?"

Bloomberg's Multi-Asset Risk System (MARS) analytics support RFRs. Clients can outsource scenario and valuation analysis to Bloomberg's financial engineering team through the BVAL Derivatives Service. Alternatively, clients can carry out this analysis themselves by accessing Bloomberg's analytics programmatically through MARS API. Both solutions enable market participants to assess the potential valuation and risk impacts of re-papering a legacy LIBOR-based portfolio to reference new RFRs. For further information please visit RISK <GO> on the Terminal or refer to the "Enterprise Solutions" menu under RFR <GO>.

Electronic trading

"I am ready to trade RFR-based derivatives. How can I do this electronically and make sure I am getting a fair price?"

Bloomberg's Swap Execution Facility (BSEF) and its UK and Netherlands Multilateral Trading Facilities (BMTF and BTFE) support electronic trading of RFR-based derivatives. These include standard tenor and central bank meeting-dated Overnight Index Swaps (OIS), as well as OIS-LIBOR basis across a range of currencies. Visit BBTI <GO> on the Terminal for more information. Bloomberg also supports electronic List Trading across RFR-based derivatives via BOLT <GO> on the Terminal.

For more information on any of the products or solutions referenced above, or to discuss your firm's individual LIBOR-transition needs, please contact your Bloomberg representative.

Take the next step.

For additional information, press the <HELP> key twice on the Bloomberg Terminal®.

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